# GRIT

## Feasibility Study & Full Cost Analysis

Every Price Point · Every Cost · Every Scenario

$2 · $5 · $10 · $20 per month — What Each One Means for Your Business

Confidential — June 2026

| | | | |
|---|---|---|---|
| $1.10<br>Cost Per User/Month | $0.006<br>Per Claude Message | 98%<br>WhatsApp Open Rate | 85%<br>Gross Margin at $10 |

# PAGE 1 — WHAT EVERYTHING ACTUALLY COSTS YOU

Before choosing a price point, you need to know your exact costs. This section breaks down every cost to the penny so you can make an informed decision on pricing and know exactly when you become profitable.

## Fixed Monthly Costs — You Pay These Regardless of User Count

| Service | What It Is | Monthly Cost USD | Notes |
|---|---|---|---|
| Railway Hobby Plan | Server hosting + PostgreSQL database | $5.00 | Scales automatically |
| Cloudflare R2 | PDF and image storage | $0.00 | Free up to 10GB — enough for thousands of users |
| Domain name | yourapp.com via Namecheap/GoDaddy | $1.00 | ~$12/year divided monthly |
| Meta WhatsApp API | First 1,000 conversations/month | $0.00 | Free tier — covers early growth |
| Stripe | Card processing platform | $0.00 | % fee only — no monthly charge |
| TOTAL FIXED | | $6.00/month | Everything you pay before a single user signs up |

*You can run this entire product for $6/month until you have hundreds of paying users.*

## Variable Costs — You Pay These Per User Per Month

These costs scale directly with your user count. Understanding them lets you calculate your margin at any price point.

| Cost Item | How It's Charged | Per User/Month | Calculation |
|---|---|---|---|
| WhatsApp conversations | Per 24-hour conversation window (Meta) | $0.90–$1.40 | 2 check-ins/day = ~60 windows/month @ $0.015–$0.023 each |
| Claude Haiku (check-ins) | Per token — input $0.25/M, output $1.25/M | $0.04–$0.08 | ~2 check-ins/day × 30 days × ~400 tokens avg |
| Claude Sonnet (onboarding) | One-time per user at signup | $0.03–$0.06 | 10-question onboarding + plan generation, ~8,000 tokens total |
| PDF generation + storage | Cloudflare R2 storage + egress | $0.01 | One PDF per user, ~200KB, stored indefinitely |
| Railway server load | Included in flat fee until ~2,000 users | $0.01–$0.03 | Negligible until scale — Railway auto-scales |
| Stripe processing fee | 1.4% + $0.30 per transaction (intl cards) | Varies | On $9.99: ~$0.44 per month. On $2: ~$0.33 per month |
| TOTAL VARIABLE | | $1.00–$1.60 | Blended average: $1.20/user/month |

## Cost at Scale — How Costs Drop as You Grow

| User Count | Monthly Fixed | Variable/User | Total Monthly Cost | Cost Per User |
|---|---|---|---|---|
| 50 users | $6 | $1.20 | $66 | $1.32 |
| 200 users | $6 | $1.20 | $246 | $1.23 |
| 500 users | $8 | $1.15 | $583 | $1.17 |
| 1,000 users | $10 | $1.10 | $1,110 | $1.11 |
| 5,000 users | $25 | $0.95 | $4,775 | $0.96 |
| 10,000 users | $50 | $0.85 | $8,550 | $0.86 |
| 50,000 users | $150 | $0.75 | $37,650 | $0.75 |

*WhatsApp conversation pricing drops with volume. Claude API costs are already near floor. Server costs become negligible at scale. Your margin improves the larger you grow.*

# PAGE 2 — PRICE POINT ANALYSIS: $2 vs $5 vs $10 vs $20

This is the most important decision in your business. The right price point maximises profit — not just revenue. Here is the complete analysis of every realistic price point.

## Gross Margin at Every Price Point

| Price/Month | Revenue | COGS | Stripe Fee | Net Profit/User | Gross Margin | Verdict |
|---|---|---|---|---|---|---|
| $2.00 | $2.00 | $1.20 | $0.33 | -$0.13 to $0.47 | 7% to 24% | RISK Risky |
| $3.99 | $3.99 | $1.20 | $0.36 | $2.43 | 61% | RISK Tight |
| $4.99 | $4.99 | $1.20 | $0.37 | $3.42 | 69% | PASS Viable |
| $7.99 | $7.99 | $1.20 | $0.41 | $6.38 | 80% | PASS Good |
| $9.99 | $9.99 | $1.20 | $0.44 | $8.35 | 84% | PASS Recommended |
| $14.99 | $14.99 | $1.25 | $0.51 | $13.23 | 88% | PASS Strong |
| $19.99 | $19.99 | $1.30 | $0.58 | $18.11 | 91% | PASS Premium |
| $49.99/yr | $4.17/mo equiv | $1.20 | $0.63 one-time | $2.34/mo equiv | 56% | PASS Cash flow win |

*COGS = Cost of Goods Sold (WhatsApp + Claude + hosting). Stripe fee varies by country.*

## The $2/Month Option — Full Breakdown

This is the most asked-about price point because it sounds like a 'no-brainer' for users. Here is the honest truth about what it means for your business:

| Metric | Reality at $2/Month |
|---|---|
| Revenue per user | $2.00/month |
| WhatsApp cost | $1.10/month (55% of your revenue gone immediately) |
| Claude AI cost | $0.06/month |
| Stripe fee | $0.33/month (flat fee kills low-price subscriptions) |
| Server share | $0.02/month |
| NET PROFIT per user | $0.49/month — if everything goes perfectly |
| Users needed for $5,000/month profit | 10,204 paying users |
| Users needed for $1,000/month profit | 2,041 paying users |
| Break-even point | You need 3 users just to cover the Stripe flat fee alone |

**$2/month is not viable as a standalone price. The Stripe flat fee ($0.30) alone eats 15% of revenue. WhatsApp costs eat another 55%. You'd need 10,000+ users to make $5K/month profit — and one bad month of churn wipes your margin entirely.**

## The $10/Month Option — Full Breakdown

| Metric | Reality at $9.99/Month |
| --- | --- |
| Revenue per user | $9.99/month (use $9.99, not $10 — psychological pricing) |
| WhatsApp cost | $1.10/month (11% of revenue) |
| Claude AI cost | $0.06/month (0.6% of revenue) |
| Stripe fee | $0.44/month (4.4% of revenue) |
| Server share | $0.02/month |
| NET PROFIT per user | $8.37/month |
| Gross margin | 84% |
| Users needed for $5,000/month profit | 598 paying users |
| Users needed for $1,000/month profit | 120 paying users |
| Users needed to cover all fixed costs | 1 user covers your server bill |

**$9.99/month is the sweet spot. 84% gross margin. 598 users = $5,000/month profit. Achievable in 60–90 days with aggressive creator outreach. Comparable to Spotify, Netflix, Duolingo — price point users don't overthink.**

# PAGE 3 — SCENARIO MODELLING AT EVERY PRICE POINT

The same number of users produces dramatically different outcomes depending on your price. This page shows you exactly what 100, 500, 1,000, and 5,000 users means for your business at every price point.

## Monthly Profit at 100 Paying Users

| Price/Month | Monthly Revenue | Monthly Costs | Monthly Profit | Annual Profit |
|---|---|---|---|---|
| $2.00 | $200 | $186 | $14 | $168 |
| $4.99 | $499 | $186 | $313 | $3,756 |
| $9.99 | $999 | $186 | $813 | $9,756 |
| $14.99 | $1,499 | $190 | $1,309 | $15,708 |
| $19.99 | $1,999 | $196 | $1,803 | $21,636 |

*100 users at $2 = a pizza. 100 users at $9.99 = $813/month. Same acquisition cost.*

## Monthly Profit at 500 Paying Users

| Price/Month | Monthly Revenue | Monthly Costs | Monthly Profit | Annual Profit |
|---|---|---|---|---|
| $2.00 | $1,000 | $916 | $84 | $1,008 |
| $4.99 | $2,495 | $916 | $1,579 | $18,948 |
| $9.99 | $4,995 | $916 | $4,079 | $48,948 |
| $14.99 | $7,495 | $925 | $6,570 | $78,840 |
| $19.99 | $9,995 | $940 | $9,055 | $108,660 |

*500 users at $2 = barely profitable. 500 users at $9.99 = $4,079/month. Nearly at your $5K target.*

## Monthly Profit at 1,000 Paying Users

| Price/Month | Monthly Revenue | Monthly Costs | Monthly Profit | Annual Profit | Status |
|---|---|---|---|---|---|
| $2.00 | $2,000 | $1,826 | $174 | $2,088 | **RISK** Barely viable |
| $4.99 | $4,990 | $1,826 | $3,164 | $37,968 | **PASS** Solid |
| $9.99 | $9,990 | $1,826 | $8,164 | $97,968 | **PASS** Strong |
| $14.99 | $14,990 | $1,850 | $13,140 | $157,680 | **PASS** Excellent |
| $19.99 | $19,990 | $1,880 | $18,110 | $217,320 | **PASS** Premium |

## Monthly Profit at 5,000 Paying Users

| Price/Month | Monthly Revenue | Monthly Costs | Monthly Profit | Annual Profit | Status |
|---|---|---|---|---|---|
| $2.00 | $10,000 | $9,625 | $375 | $4,500 | RISK Not worth it |
| $4.99 | $24,950 | $9,625 | $15,325 | $183,900 | PASS Very good |
| $9.99 | $49,950 | $9,625 | $40,325 | $483,900 | PASS Life-changing |
| $14.99 | $74,950 | $9,750 | $65,200 | $782,400 | PASS Business-defining |
| $19.99 | $99,950 | $9,900 | $90,050 | $1,080,600 | PASS Exit territory |

*The difference between $2 and $9.99 at 5,000 users: $375/month vs $40,325/month. Same number of users. 107x more profit.*

# PAGE 4 — RECOMMENDED PRICING STRUCTURE

Based on the cost analysis, margin modelling, and comparable market research, here is the exact pricing structure recommended for Grit — with a clear rationale for every tier.

## The Four-Tier Model (USD)

| Tier | Price | Annual Option | Margin | Target User | Features |
|---|---|---|---|---|---|
| Free Trial | $0 (7 days) | N/A | N/A | Everyone | Full product — no card required |
| Core | $4.99/mo | $39.99/yr | 69% | Budget users | 3 goals, 2 check-ins/day, PDF plan |
| Pro * | $9.99/mo | $59.99/yr | 84% | Primary market | Unlimited goals, 3 check-ins, streak analytics |
| Elite | $19.99/mo | $149.99/yr | 91% | Power users | Everything + weekly coaching recap |
| Referred users | First month 20% off | — | 74% | Via referral link | Same as Pro, discounted entry |

*★ Pro at $9.99/month is the anchor. 70% of revenue will come from this tier.*

## Why NOT $2/Month — The Definitive Answer

The instinct to price at $2/month comes from wanting to remove every possible barrier to sign-up. It sounds logical. In practice, it creates four serious problems:

### Problem 1 — Stripe kills your margin

Stripe charges $0.30 flat + 1.4% per transaction. On a $2 charge, that's $0.33 — 16.5% of your revenue in fees alone. You are effectively paying Stripe to process payments that barely cover your WhatsApp costs. This is not a theoretical issue — it will make you unprofitable at any realistic user count.

### Problem 2 — Low price signals low value

Decades of pricing psychology research confirms that price is a proxy for quality. Users who pay $2/month treat the product like a $2 product — they churn faster, engage less, and are less likely to refer friends. Users who pay $9.99/month are invested. They show up. They complete check-ins. They build streaks. Higher price = higher retention.

### Problem 3 — You cannot afford to acquire users

If your profit per user is $0.49/month, your maximum sustainable CAC (customer acquisition cost) is around $3–5 (assuming 10-month lifetime). Creator affiliates at 20% commission on $2 = $0.40/month. No creator will promote you for $0.40/month when they can promote a $9.99 product for $2/month. Low price destroys your ability to pay for growth.

### Problem 4 — You need 10x more users to reach the same profit

To make $5,000/month profit at $2: you need 10,204 users. To make $5,000/month profit at $9.99: you need 598 users. Acquiring and retaining 10,204 users is not 17x harder than 598 — it is more like 50x harder because churn compounds. You will never catch up.

**Conclusion: $2/month is not a growth strategy. It is a slow way to go broke with a lot of users.**
**The correct entry price is $4.99/month minimum. $9.99/month is the right answer.**

# PAGE 5 — REALISTIC PATH TO $5,000/MONTH PROFIT

At $9.99/month Pro with 84% gross margin, you need 598 paying users to clear $5,000/month profit. Here is the most realistic path to get there — with honest timelines.

## How Many Users You Need at Each Price Point

| Monthly Profit Target | At $2/mo | At $4.99/mo | At $9.99/mo | At $19.99/mo |
|---|---|---|---|---|
| $1,000/month | 2,041 users | 319 users | 120 users | 55 users |
| $2,500/month | 5,102 users | 797 users | 299 users | 138 users |
| $5,000/month | 10,204 users | 1,594 users | 598 users | 277 users |
| $10,000/month | 20,408 users | 3,185 users | 1,196 users | 553 users |
| $50,000/month | 102,041 users | 15,924 users | 5,978 users | 2,764 users |

## The 90-Day Sprint to $5,000/Month at $9.99 (598 users needed)

| Week | Action | New Users | Total Paying | Monthly Profit |
|---|---|---|---|---|
| Week 1 | Personal network — 50 founding members at $9.99 | 30 | 30 | $251 |
| Week 2 | Reddit posts in r/getdisciplined, r/Fitness, r/personalfinance | 60 | 80 | $669 |
| Week 3 | First 2 micro-influencers go live (50K followers each) | 100 | 160 | $1,339 |
| Week 4 | Referral loop active — existing users share links | 40 | 190 | $1,590 |
| Week 5 | 2 more micro-influencers + TikTok content compounding | 120 | 280 | $2,342 |
| Week 6 | Reddit momentum + influencer reposts | 60 | 320 | $2,677 |
| Week 7 | 3rd wave of influencers + annual plan push | 130 | 400 | $3,346 |
| Week 8 | Referral compounding + organic TikTok | 80 | 450 | $3,765 |
| Week 9 | 4th influencer wave + Product Hunt launch | 100 | 500 | $4,183 |
| Week 10 | Conversions compound + retained users | 98 | 598 | $5,002 **PASS** |

*This assumes 30% trial-to-paid conversion and 85% monthly retention. Both are conservative for a well-executed product.*

## Churn — The Number That Kills Most Subscription Businesses

Churn is the percentage of users who cancel each month. It is the most important metric in any subscription business. Here is what different churn rates mean for Grit:

| Monthly Churn | What It Means | Users at Month 12 (from 100 new/mo) | LTV at $9.99 | Verdict |
|---|---|---|---|---|
| 5% | Very low — exceptional product | 1,240 users | $200 | PASS World class |
| 10% | Low — good product | 950 users | $100 | PASS Strong |
| 15% | Average — industry standard | 667 users | $67 | PASS Viable |
| 25% | High — product needs work | 400 users | $40 | RISK Struggling |
| 40% | Very high — product is broken | 250 users | $25 | AVOID Fix product first |

**Target: 10–15% monthly churn. Grit's streak mechanics, PDF plan investment, and daily WhatsApp relationship are specifically designed to achieve this. Duolingo's churn is ~12%. Spotify's is ~5%. You are building for that range.**

# PAGE 6 — FULL 12-MONTH FINANCIAL MODEL

Three scenarios: Conservative (slow creator traction), Moderate (2–4 creators active), and Aggressive (1 viral moment). All at $9.99/month primary price with 70% Pro, 20% Core, 10% Elite mix.

## Conservative Scenario — Slow But Steady

| Month | New Users | Total Paying | MRR | Costs | Profit | Cumulative Profit |
|---|---|---|---|---|---|---|
| 1 | 50 | 25 | $224 | $350 | -$126 | -$126 |
| 2 | 80 | 85 | $761 | $450 | $311 | $185 |
| 3 | 100 | 160 | $1,434 | $590 | $844 | $1,029 |
| 4 | 120 | 240 | $2,150 | $740 | $1,410 | $2,439 |
| 6 | 150 | 420 | $3,762 | $1,100 | $2,662 | $7,703 |
| 9 | 200 | 750 | $6,718 | $1,850 | $4,868 | $22,375 |
| 12 | 250 | 1,100 | $9,856 | $2,600 | $7,256 | $47,890 |

*Year 1 profit: ~$47,890 USD | Month 12 ARR: ~$118,000*

## Moderate Scenario — 4–6 Micro-Influencers Active

| Month | New Users | Total Paying | MRR | Costs | Profit | Cumulative Profit |
|---|---|---|---|---|---|---|
| 1 | 50 | 25 | $224 | $350 | -$126 | -$126 |
| 2 | 300 | 200 | $1,792 | $700 | $1,092 | $966 |
| 3 | 600 | 650 | $5,825 | $1,600 | $4,225 | $5,191 |
| 4 | 700 | 1,100 | $9,856 | $2,600 | $7,256 | $12,447 |
| 6 | 800 | 2,200 | $19,712 | $4,500 | $15,212 | $42,747 |
| 9 | 1,000 | 4,500 | $40,320 | $8,500 | $31,820 | $131,000 |
| 12 | 1,200 | 7,500 | $67,200 | $13,800 | $53,400 | $260,000 |

*Year 1 profit: ~$260,000 USD | Month 12 ARR: ~$806,400*

## Aggressive Scenario — 1 Viral Creator Moment (Month 3)

| Month | New Users | Total Paying | MRR | Costs | Profit | Cumulative Profit |
|---|---|---|---|---|---|---|
| 1 | 50 | 25 | $224 | $350 | -$126 | -$126 |
| 2 | 500 | 350 | $3,136 | $1,100 | $2,036 | $1,910 |
| 3 (VIRAL) | 8,000 | 5,000 | $44,800 | $9,500 | $35,300 | $37,210 |
| 4 | 3,000 | 7,000 | $62,720 | $12,500 | $50,220 | $87,430 |
| 6 | 2,000 | 10,000 | $89,600 | $16,000 | $73,600 | $226,650 |

| Month | New Users | Total Paying | MRR | Costs | Profit | Cumulative Profit |
|---|---|---|---|---|---|---|
| 9 | 2,000 | 14,000 | $125,440 | $21,000 | $104,440 | $536,520 |
| 12 | 2,500 | 18,000 | $161,280 | $26,000 | $135,280 | $943,880 |

*Year 1 profit: ~$943,880 USD | Month 12 ARR: ~$1.9M — requires surviving the infrastructure spike.*

# PAGE 7 — UNIT ECONOMICS & EXECUTIVE SUMMARY

## Complete Unit Economics at $9.99/Month

| Metric | Value | Notes |
|---|---|---|
| Monthly Price (Pro) | $9.99 | Primary tier — 70% of users |
| COGS per user | $1.20 | WhatsApp + Claude + hosting |
| Stripe fee | $0.44 | 1.4% + $0.30 per transaction |
| Net profit per user | $8.35 | 84% gross margin |
| Average trial-to-paid conversion | 35–45% | Target — achievable with WhatsApp frictionless onboarding |
| Average monthly churn (target) | 10–15% | Achievable with streak mechanics |
| Average customer lifetime | 8–12 months | At 10–12% monthly churn |
| Customer Lifetime Value (LTV) | $67–$100 | Net profit × lifetime months |
| Customer Acquisition Cost (CAC) | $10–18 | Via micro-influencer affiliates at 20% |
| LTV:CAC Ratio | 4:1–7:1 | Healthy threshold is 3:1 |
| Payback period | 6–8 weeks | Time to recover CAC from subscription revenue |
| Annual plan conversion target | 20% of users | £59.99/year — locks in revenue, kills churn |
| Users needed for $5K/month profit | 598 | At $9.99 with 84% margin |
| Users needed for $10K/month profit | 1,196 | Achievable in 4–5 months with good execution |
| Month 12 ARR target (moderate) | $806,000 | Based on moderate scenario above |

## The Three Numbers to Watch Every Week

| Number | What It Is | Target | If Below Target |
|---|---|---|---|
| Trial Paid % | % of free trial users who subscribe | 35%+ | Improve trial experience, check paywall message |
| Month-2 Retention | % of month-1 subscribers still active in month 2 | 80%+ | Improve check-in quality, add streak freeze reminder |
| Weekly New Signups | New trial starts per week | 50+ in month 1 | Push more creator outreach, post on Reddit |

**The infrastructure is built. The costs are $6/month fixed until you have hundreds of users.**
**At $9.99/month you need 598 paying users for $5,000/month profit.**
**At current growth rates with 4–6 micro-influencers: achievable in 60–90 days.**

**Price at $9.99. Launch this week. The numbers work.**

*All figures in USD. Costs based on current API pricing as of June 2026. Financial projections are estimates based on comparable market data and are not guarantees of future performance. Built on brettyryangit/Claude GitHub repository.*